

Finance Commission of India

1. Meaning

- The Finance Commission is a constitutional body established under Article 280 of the Indian Constitution.
- It is appointed by the President of India every 5 years or earlier if required.
- Its main purpose is to recommend the distribution of financial resources between the Union Government and State Governments.

2. Constitutional Provisions

Article	Provision
Article 280	Establishment and functions of Finance Commission
Article 281	Recommendations of Finance Commission placed before Parliament
Article 275	Grants-in-aid to States
Article 282	Grants for public purposes

3. Composition

The Finance Commission consists of:

- Chairman
- Four other members

Members are appointed by the President of India. Their qualifications are determined by Parliament through the Finance Commission (Miscellaneous Provisions) Act, 1951.

Current Finance Commission: 16th Finance Commission (2026–2031)

Establishment

- Constituted by the **President of India** in **December 2023**.
- Recommendations apply for the period **1 April 2026 to 31 March 2031**.

Chairman

- **Dr. Arvind Panagariya**
 - Former Vice-Chairman of **NITI Aayog**
 - Economist and academic

Members

1. **Ajay Narayan Jha**
 - Former Finance Secretary, Government of India
2. **Smt. Annie George Mathew**
 - Former Special Secretary, Department of Expenditure, Ministry of Finance
3. **Dr. Manoj Panda**
 - Economist and former Director, Institute of Economic Growth
4. **Dr. Soumya Kanti Ghosh**
 - Group Chief Economic Adviser, State Bank of India (Part-time Member)
5. **T. Rabi Sankar**
 - Deputy Governor, Reserve Bank of India (Part-time Member)

4. Functions of Finance Commission

(1) Distribution of Taxes

It recommends:

- **Vertical Devolution**
 - Sharing of tax revenue between Centre and States.
- **Horizontal Devolution**
 - Distribution of States' share among individual States.

(2) Grants-in-Aid

- Recommends principles for providing grants to States from the **Consolidated Fund of India** under **Article 275**.

(3) Strengthening Local Bodies

- Suggests measures to increase resources of:
 - Panchayats
 - Municipalities

(4) Other Matters

- Any other financial matter referred by the President.

5. Importance of Finance Commission

A. Corrects Fiscal Imbalance

- **Vertical imbalance:** Difference between Centre and State revenue powers.
- **Horizontal imbalance:** Difference in financial capacity among States.

B. Promotes Cooperative Federalism

- Helps maintain healthy financial relations between Centre and States.

C. Ensures Equitable Development

- Supports poorer States through tax sharing and grants.

Important Features

- Constitutional body.
- Not a permanent body.
- Recommendations are advisory, not legally binding.
- Promotes fiscal discipline and balanced growth.